PARTICIPATING ISSUES

Most of the traits of this type of privilege have already been brought out in the preceding comparison with the other forms. A distinction may be made between two kinds of participation. The more usual arrangement depends upon the dividend paid upon the common; less frequently, the profit sharing is determined by the earnings without reference to the dividend rate.

Examples: Westinghouse Electric and Manufacturing Company Preferred, already described, is a standard example of the first type; Budd Wheel Company Preferred illustrates the second. In the latter case the basic dividend is 7% cumulative, but this rate increases to 8, 9, and 10%, according as the net earnings of the previous year exceed $600,000; $800,000 and $1,000,000, respectively. Celanese Corporation Participating First Preferred and Celluloid Corporation Participating Second Preferred are each entitled to a basic 7%, plus 10% of the earnings otherwise available for the common stock.

Preferred shares constitute the great bulk of participating issues; participating bonds are rare and likely to deviate widely in other respects from the standard bond pattern. The Kreuger and Toll Participating Debentures, for example, although nominally a bond, were in essence a nonvoting common stock. The Green Bay and Western Railway (Participating) Debentures, Series A and Series *B*, are in reality preferred and common stocks respectively. Spanish River Pulp and Paper Mills, Ltd., First 6s, due 1931 but redeemed in 1928, are one of the few examples of an investment-type bond with a participating privilege.[1] Siemens and Halske A. G. (a German enterprise) issued a series of Participating Debentures, due 2930, carrying interest equal to the rate of dividend paid upon the common stock but not less than 6%.

Participating preferred stocks originally had a standard pattern, exemplified by Westinghouse Electric and Manufacturing Company Preferred. The order of payment is first a fixed preference to the senior shares, then a similar amount on the common shares, and finally an equal participation, share for share, in additional dividends. This pattern arose from the common-law right of all classes of stock to share equally in

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[1] See Appendix Note 40 for details concerning this issue.